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FINANCIAL ACCOUNTING

3e

IFRS EDITION

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The Recording Process

LEARNING OBJECTIVES

After studying this chapter, you should be able to:

1. Explain what an account is and how it helps in the recording process.
2. Define debits and credits and explain their use in recording business transactions.
3. Identify the basic steps in the recording process.
4. Explain what a journal is and how it helps in the recording process.

The Account

Learning Objective 1

Explain what an account is and how it helps in the recording process.

- ◆ Record of increases and decreases in a specific asset, liability, stockholders' equity, revenue, or expense item.
- ◆ Debit = "Left"
- ◆ Credit = "Right"

Debits and Credits

DEBIT AND CREDIT PROCEDURES

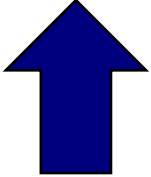
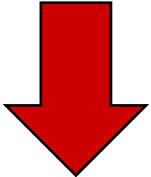
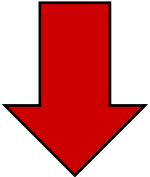
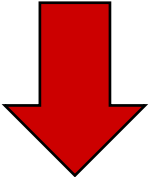
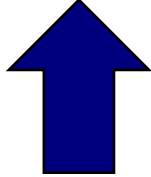
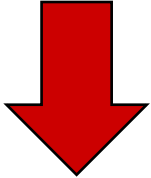
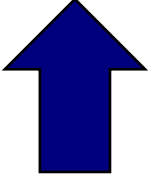
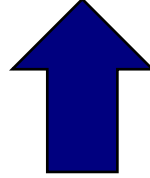
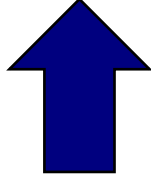
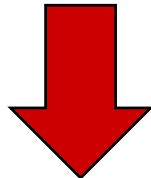
Double-entry system

- ◆ Each transaction must affect two or more accounts to keep the basic accounting equation in balance.
- ◆ Recording done by debiting at least one account and crediting at least one other account.
- ◆ **DEBITS must equal CREDITS.**

Learning Objective 2

Define debits and credits and explain their use in recording business transactions.

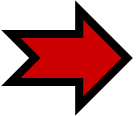
Summary of Debit/Credit Rules

	Statement of Financial Position			Income Statement	
	<u>Asset</u>	=	<u>Liability</u> + <u>Equity</u>	<u>Revenue</u>	- <u>Expense</u>
Debit			 		
Credit			 		

Summary of Debit/Credit Rules

Question

Debits:

- a. increase both assets and liabilities.
- b. decrease both assets and liabilities.
-  c. increase assets and decrease liabilities.
- d. decrease assets and increase liabilities.

Summary of Debit/Credit Rules

Question

Accounts that normally have debit balances are:

- a. assets, expenses, and revenues.
- b. assets, expenses, and equity.
- c. assets, liabilities, and dividends.
-  d. assets, dividends, and expenses.

Summary of Debit/Credit Rules

Relationship among the assets, liabilities, and equity of a business:

Illustration 2-12
Summary of debit/credit rules

Basic
Equation

Assets = Liabilities + Equity

Expanded
Equation

Debit/Credit
Effects

Assets	=	Liabilities	+	Share Capital	+	Retained Earnings	-	Dividends	+	Revenues	-	Expenses
Dr. + Cr. -		Dr. - Cr. +		Dr. - Cr. +		Dr. - Cr. +		Dr. + Cr. -		Dr. - Cr. +		Dr. + Cr. -

The equation must be in balance after every transaction.
Total **Debits** must equal total **Credits**.

The Account

Business documents, such as a sales receipt, a check, or a bill, provide evidence of the transaction.

Learning Objective 3
Identify the basic steps in the recording process.

The Recording Process



Analyze each transaction



Enter transaction in a journal



Transfer journal information to ledger accounts

Illustration 2-13
The recording process

Steps in the Recording Process

The Journal

- ◆ Book of original entry.
- ◆ Transactions recorded in chronological order.
- ◆ Contributions to the recording process:
 1. Discloses the **complete effects of a transaction**.
 2. Provides a **chronological record** of transactions.
 3. Helps to **prevent or locate errors** because the debit and credit amounts can be easily compared.

Learning Objective 4
Explain what a journal is and how it helps in the recording process.

The Journal

JOURNALIZING - Entering transaction data in the journal.

Illustration: On September 1, shareholders invested €15,000 cash in the corporation in exchange for ordinary shares, and Softbyte purchased computer equipment for €7,000 cash.

Illustration 2-14

GENERAL JOURNAL				
Date	Account Title	Ref.	Debit	Credit
Sept. 1	Cash		15,000	
	Share Capital—Ordinary			15,000
	Equipment		7,000	
	Cash			7,000

The Journal

SIMPLE AND COMPOUND ENTRIES

Illustration: On July 1, Tsai Company purchases a delivery truck costing NT\$420,000. It pays NT\$240,000 cash now and agrees to pay the remaining NT\$180,000 on account.

Illustration 2-15
Compound journal entry

GENERAL JOURNAL				
Date	Account Title	Ref.	Debit	Credit
July 1	Equipment		420,000	
	Cash			240,000
	Accounts Payable			180,000

Assume that on **July 1, 2026, Sarah Tech Services** started its operations with the following occurrences:

1. The owner, Sarah, invested \$50,000 in cash to start the business.
2. Purchased computer equipment for \$30000 cash.
3. Purchased \$5000 worth of office supplies on account (meaning payment will be made later).
4. The business signs an employment contract with a senior developer for a salary of \$5,000 per month starting next week.
5. A client places a formal purchase order for \$20000 worth of IT services to be delivered next month.
6. Performed services for clients totaling \$4,000: received \$1,500 in cash, and billed the remaining \$2,500 on account.
7. Paid \$600 in cash for the current month's office rent.
8. Paid \$3000 cash to the supplier for the supplies purchased in transaction 3.
9. The owner withdrew \$400 cash for personal use.

Sarah Tech Service
Journal Entries
For the Month end of July 31st

Date	Particulars	Ref.	Amount	Amount
1.7.26				
2.7.26				
3.7.26				
4.7.26				
5.7.26				
6.7.26				
7.7.26				

Practice Problem

Joan Robinson opens her own law office on July 1, 2020. During the first month of operations, the following transactions occurred.

1. Joan invested \$11,000 in cash in the law practice.
2. Paid \$800 for July rent on office space.
3. Purchased equipment on account \$3,000.
4. Performed legal services for clients for cash \$1,500.
5. Borrowed \$700 cash from a bank on a note payable.
6. Performed legal services for client on account \$2,000.
7. Paid monthly expenses: salaries and wages \$500, utilities \$300, and advertising \$100.
8. Joan withdrew \$1,000 cash for personal use.

P1.1A (LO 3, 4) On April 1, Julie Spengel established Spengel's Travel Agency. The following transactions were completed during the month.

1. Invested \$15,000 cash to start the agency.
2. Paid \$600 cash for April office rent.
3. Purchased equipment for \$3,000 cash.
4. Incurred \$700 of advertising costs in the *Chicago Tribune*, on account.
5. Paid \$900 cash for office supplies.
6. Performed services worth \$10,000: \$3,000 cash is received from customers, and the balance of \$7,000 is billed to customers on account.
7. Withdrew \$600 cash for personal use.
8. Paid *Chicago Tribune* \$500 of the amount due in transaction (4).
9. Paid employees' salaries \$2,500.
10. Received \$4,000 in cash from customers who have previously been billed in transaction (6).

DO IT! 1.5 (LO 5) Presented below is selected information related to Kirby Company at December 31, 2020. Kirby reports financial information monthly.

Accounts Payable	\$ 3,000	Salaries and Wages Expense	\$16,500
Cash	6,500	Notes Payable	25,000
Advertising Expense	6,000	Rent Expense	10,500
Service Revenue	53,500	Accounts Receivable	13,500
Equipment	29,000	Owner's Drawings	7,500

- Determine the total assets of Kirby Company at December 31, 2020.
- Determine the net income that Kirby Company reported for December 2020.
- Determine the owner's equity of Kirby Company at December 31, 2020.